

intended by the developers. In some cases, ETH could be used instead, but utility tokens allow systems to accrue and maintain decoupled economic value from Ethereum as a whole. For example, a system with algorithmically varied supply would require a distinct utility token. The mechanics are discussed in more depth later in this chapter.

Utility tokens can be used as collateral (e.g., SNX), as a placeholder for reputation or stake (e.g., REP, LINK), to maintain stable value relative to underlying or peg (e.g., DAI, Synthetix Synth), and to pay application-specific fees (e.g., ZRX, DAI, LINK). The latter includes all stablecoins, regardless of whether the stablecoin is fiat or crypto-collateralized or algorithmic. In the case of USDC, a fiat-collateralized stablecoin, the utility token operates as its own system without any additional smart contract infrastructure to support its value. The value of USDC arises from the promise of redemption for USD by its backing companies, including Coinbase.

Far more possibilities exist for utility tokens than the few we have mentioned here. Innovation will expand this category as novel economic and technical mechanisms emerge.

Governance Tokens

Governance and equity tokens both represent percentage ownership: *equity* refers to the share of assets and governance to voting rights. We start by motivating the types of changes on which owners can vote.